

August 2, 2026 08:54 PM GMT

Renesas Electronics (6723) | Japan

Jun-Q Results: AI Strength Spilling Over into Adjacent Markets

WHAT'S CHANGED

Renesas Electronics (6723.T)	From	To
CY26e Non-GAAP OP	¥509.2bn	¥548.2bn
CY27e Non-GAAP OP	¥620.1bn	¥662.6bn

AlphaSignals Earnings Reaction

Strengthens our thesis Impact to our thesis	Meaningful upside Financial results versus consensus	Meaningful revision higher Direction of next 12-month consensus EPS
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Source: Company data, Morgan Stanley Research

Renesas delivered a positive earnings surprise, with strength reminiscent of Panasonic's recent results.

Jun-Q Non-GAAP results: Revenue reached ¥405.3bn (YoY +16%/QoQ +7% constant currency), gross margin 58.1% (-1.1ppt QoQ), and OP ¥132.7bn, above consensus of ¥120-125bn. **Automotive:** R-Car Gen 4 ramp is progressing smoothly with Japanese customers. **Industrial:** Strong demand from factory automation and China. **Datacenter:** Continued growth, led by digital power products for ASICs.

Sep-Q Non-GAAP guidance: Revenue of ¥430bn (YoY +20%/QoQ +7% CC), gross margin 57.5%, and OP ~¥140bn (32.5% margin), well ahead of consensus expectations of ¥120-130bn. Renesas implemented selective price increases from July, but management said that this is an extension of its existing pricing strategy and is not expected to drive an immediate increase in gross margins.

Kumamoto Earthquake Impact: Impact should be limited. Wafer testing has resumed at the Kawashiri fab, with production scheduled to restart on August 5.

Our Take: We raise our earnings forecasts. While we lower our target multiple from 22x to 20x CY27 Non-GAAP EPS to reflect semiconductor stock multiple compression, we maintain our ¥6,000 target price and OW rating. The new multiple still represents roughly a 5% discount to peers.

We had thought that in addition to secular AI/datacenter growth, cyclical recovery of semiconductor market would start in a wider range of end markets. However, CEO Shibata's comment that industrial strength is being driven by datacenter demand suggests a different dynamic: Secular growth of AI/datacenter is now spilling over into adjacent industries such as factory automation and semi cap equipment. In this respect, Renesas' earnings momentum closely resembles Panasonic's, where growth has been driven by a broad range of product categories ([Panasonic Holdings: Jun-Q Results: Broad-Based Product Growth Drove Earnings \(30 Jul 2026\)](#)).

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Renesas Electronics (6723.T, 6723 JT)

Japan Semiconductors | Japan

Stock Rating	Overweight
Industry View	In-Line
Price target	¥6,000
Up/downside to price target (%)	74
Shr price, close (Jul 31, 2026)	¥3,442
Mkt cap, curr, basic (bn)	¥6,275.1
Div yld (12/26e) (%)	0.8

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
Revenue, net (¥bn)	1,321.2	1,638.4	1,874.9	2,093.0
Operating profit (¥bn)*	386.9	548.2	662.6	778.0
Net income (¥bn)**	329.3	440.2	532.3	629.2
EPS, basic (¥)*	(28.7)	407.0	228.2	281.4
Prior EPS, basic (¥)*	-	264.9	214.7	272.1
EPS (¥)**	182.5	242.1	292.0	345.1
Prior EPS (¥)**	-	225.5	275.0	332.4
P/E, basic*	NM	8.5	15.1	12.2
P/BV, basic	1.6	2.0	1.8	1.6
ROE (%)*	(2.0)	30.3	13.3	14.7

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

Operating profit*, Net income**, EPS** and Prior EPS** are based on Non-GAAP

** = Based on consensus methodology

* = GAAP or approximated based on GAAP

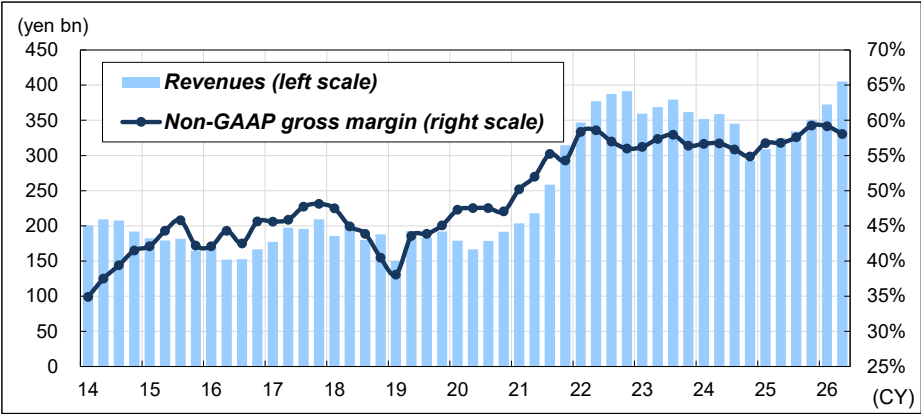
e = Morgan Stanley Research estimates

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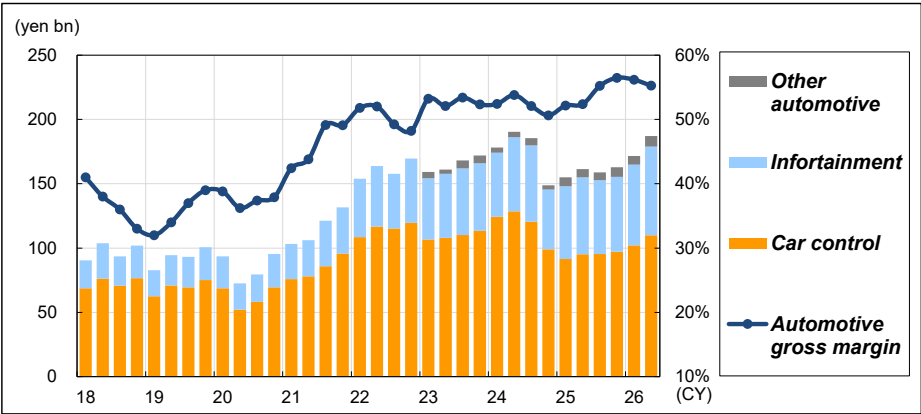
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Exhibit 1: Renesas: Quarterly revenues and non-GAAP gross margin



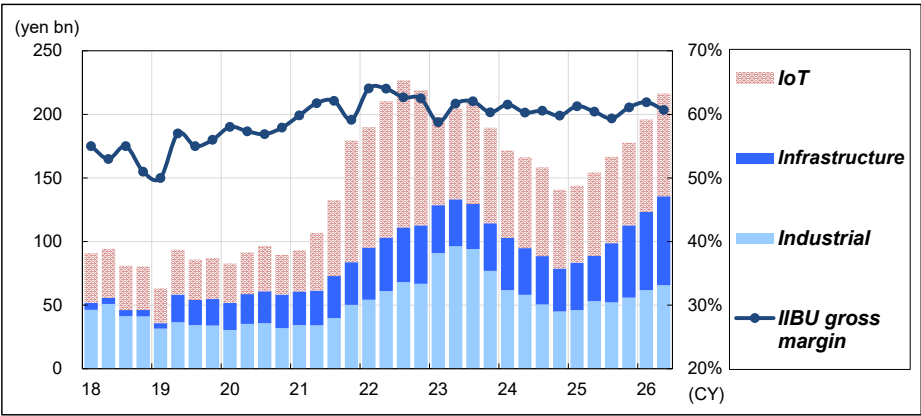
Source: Company data, Morgan Stanley Research

Exhibit 2: Renesas: Automotive sales and Non-GAAP gross margin



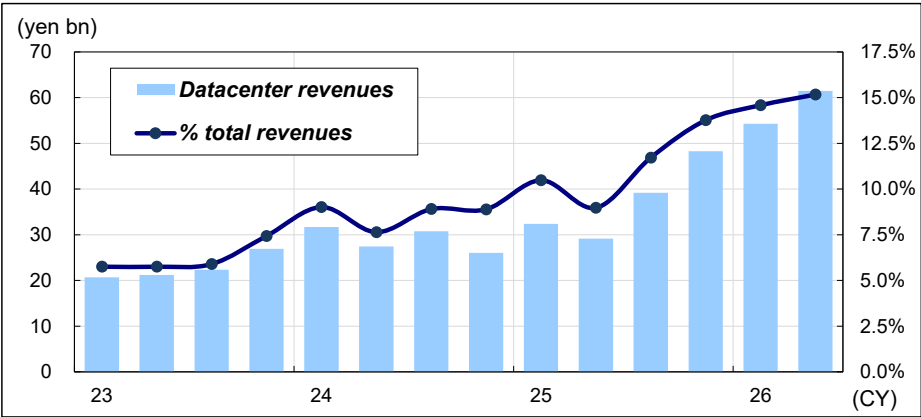
Source: Company data, Morgan Stanley Research

Exhibit 3: Renesas: Industrial, infrastructure and IoT sales and Non-GAAP gross margin



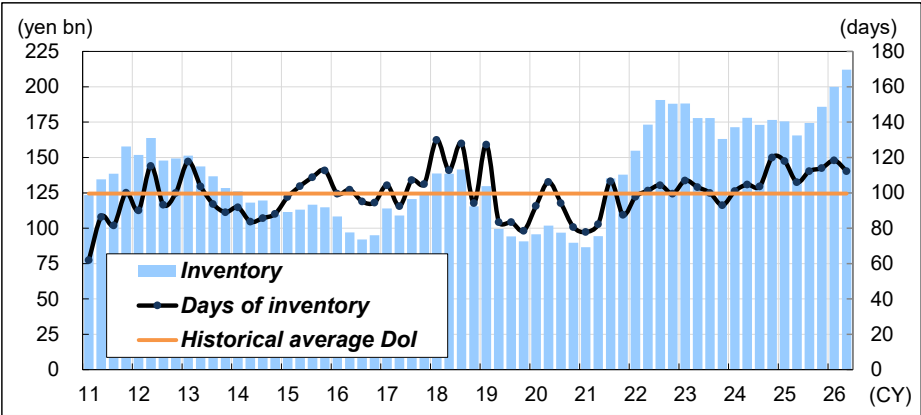
Source: Company data, Morgan Stanley Research. Note: Breakdown of Industrial, infrastructure and IoT sales are Morgan Stanley Research estimates.

Exhibit 4: Renesas: Datacenter revenues



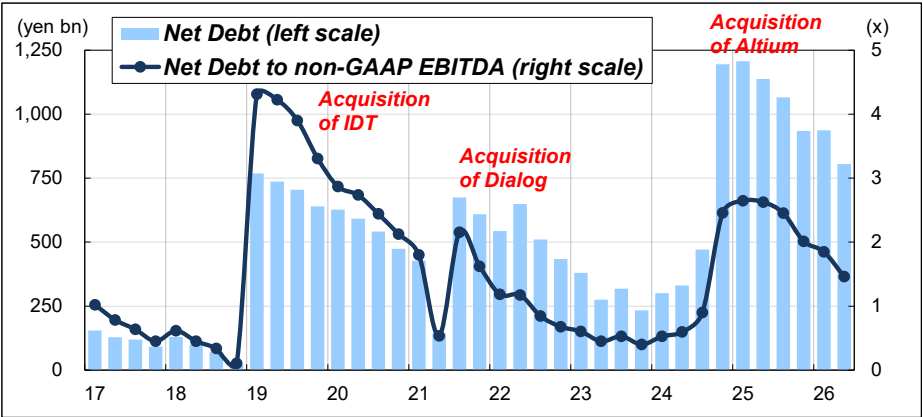
Source: Morgan Stanley Research estimates.

Exhibit 5: Renesas: Inventory



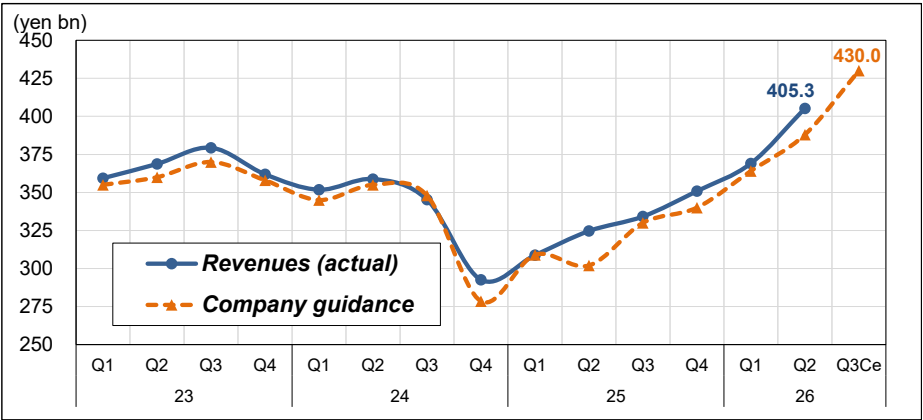
Source: Company data, Morgan Stanley Research

Exhibit 6: Renesas: Net debt



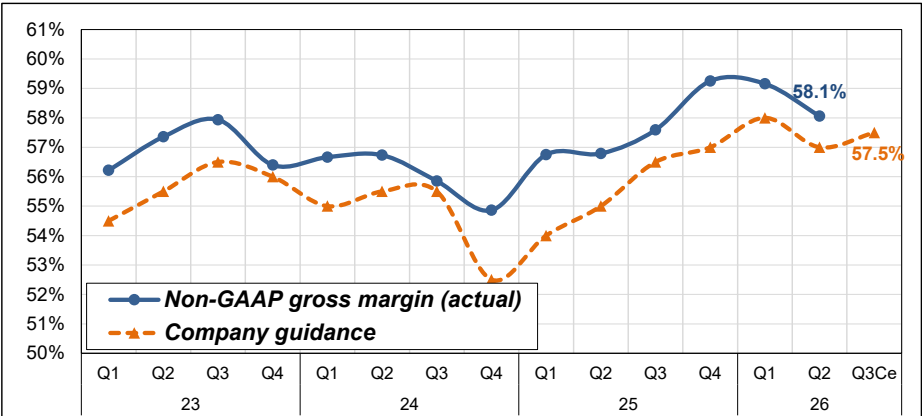
Source: Company data, Morgan Stanley Research

Exhibit 7: Renesas: Quarterly revenues



Source: Company data, Morgan Stanley Research. Ce = Company estimates. Note: 1-2Q26 results and guidance excludes timing device business.

Exhibit 8: Renesas: Non-GAAP gross margin



Source: Company data, Morgan Stanley Research. Ce = Company estimates. Note: 1-2Q26 results and guidance excludes timing device business.

Exhibit 9: Renesas: Earnings forecast

(yen billions) CY	CY23	CY24	CY25	CY26		CY27		CY28	
				e (old)	e (new)	e (old)	e (new)	e (old)	e (new)
US\$/Yen Rate	140	151	150	156	157	155	155	155	155
Euro/Yen Rate	151	164	167	181	185	180	185	180	185
Non-GAAP									
Net Sales	1,469.4	1,348.5	1,318.5	1,568.0	1,638.4	1,753.7	1,874.9	1,959.1	2,093.0
Automotive	660.4	702.8	638.0	713.0	739.6	752.8	793.0	797.4	837.7
Industrial / Infrastructure / IoT	799.3	636.8	642.5	847.5	889.3	993.4	1,074.4	1,154.2	1,247.8
Other	10.0	8.9	38.1	7.5	9.5	7.5	7.5	7.5	7.5
YoY % change									
Sales (constant currency growth)	-7%	-13%	-2%	15%	19%	12%	15%	12%	12%
Sales	-2%	-8%	-2%	19%	24%	12%	14%	12%	12%
Automotive	2%	6%	-9%	11%	16%	6%	7%	6%	6%
Industrial / Infrastructure / IoT	-6%	-20%	1%	26%	38%	17%	21%	16%	16%
Non-GAAP Gross Profit	837.4	756.3	759.9	917.0	955.1	1,038.6	1,085.6	1,172.2	1,217.0
Non-GAAP Gross margin	57.0%	56.1%	57.6%	58.5%	58.3%	59.2%	57.9%	59.8%	58.1%
Non-GAAP Operating Profit	501.6	397.9	386.9	509.2	548.2	620.1	662.6	745.2	778.0
Non-GAAP Operating margin	34.1%	29.5%	29.3%	32.5%	33.5%	35.4%	35.3%	38.0%	37.2%
Non-GAAP EBITDA	581.9	486.2	464.1	592.9	633.1	708.1	750.6	836.7	869.5
Non-GAAP Net profit	432.9	360.4	329.3	409.0	440.2	499.0	532.3	603.1	629.2
FCF	229.1	-943.6	328.2	531.1	583.5	418.0	442.1	517.3	538.0
GAAP									
Net Sales	1,469.4	1,348.5	1,321.2	1,568.0	1,638.4	1,753.7	1,874.9	1,959.1	2,093.0
GAAP Operating Profit	390.8	223.0	201.2	605.8	853.8	483.4	518.3	608.4	633.7
GAAP Net Income	337.2	219.0	-51.8	480.5	739.9	389.6	416.1	493.7	513.0
GAAP EPS (yen)	189.8	122.5	-28.7	264.9	407.0	214.7	228.2	272.1	281.4
Non-GAAP EPS (yen)	243.7	201.6	182.5	225.5	242.1	275.0	292.0	332.4	345.1
BPS (Yen)	1,126.3	1,413.8	1,347.3	1,583.4	1,717.9	1,768.2	1,916.2	2,005.3	2,162.6
DPS (Yen)	28.0	28.0	28.0	28.0	28.0	30.0	30.0	35.0	35.0
GAAP ROE	19%	10%	-2%	18%	27%	13%	13%	14%	14%
Non-GAAP ROE	24%	16%	13%	15%	16%	16%	16%	18%	17%

Source: Company data, Morgan Stanley Research. e = Morgan Stanley Research estimates.

Exhibit 10: Renesas: Non-GAAP earnings

(yen billion) FY	CY25 Mar	Jun	Sep	Dec	CY25	CY26 Mar	Jun	Sep e	Dec e	CY26e	CY27 Mar e	Jun e	Sep e	Dec e	CY27e
US\$/Yen Rate	154	146	146	152	150	156	159	156	155	157	155	155	155	155	155
Euro/Yen Rate	161	162	170	176	167	183	185	185	185	185	185	185	185	185	185
Constant currency sales growth															
YoY % change	-17%	-10%	-4%	13%	-2%	18%	16%	23%	20%	19%	-36%	16%	12%	14%	15%
QoQ % change	-1%	9%	3%	2%		4%	7%	8%	-1%		3%	5%	5%	1%	
Revenues	308.8	324.6	334.2	350.9	1,318.5	372.3	405.3	432.6	428.6	1,638.4	439.8	462.2	484.1	488.8	1,874.9
YoY % change	-12%	-10%	-3%	20%	-2%	21%	25%	29%	22%	24%	-36%	14%	12%	14%	14%
QoQ % change	6%	5%	3%	5%		6%	9%	7%	-1%		3%	5%	5%	1%	
Automotive	154.9	161.4	158.8	162.9	638.0	171.6	187.1	192.1	188.8	739.6	191.1	197.0	203.2	201.6	793.0
Car Control	72.0	76.8	77.0	77.7	303.6	84.1	87.0	89.6	87.8	348.5	89.6	92.3	96.0	95.0	372.8
xEV	19.5	18.4	18.3	19.4	75.6	18.0	23.0	23.0	22.3	86.4	22.3	22.5	22.8	22.5	90.2
Infotainment	35.6	39.5	37.3	37.0	149.5	37.7	41.5	42.4	41.5	163.2	41.5	42.8	43.6	43.2	171.1
ADAS	20.9	20.3	20.2	21.2	82.6	25.1	27.3	28.1	28.1	108.6	28.7	30.1	31.3	31.3	121.5
Other automotive	6.8	6.3	6.0	7.5	26.7	6.7	8.2	9.0	9.0	33.0	9.0	9.3	9.6	9.6	37.4
Industrial / Infrastructure / IoT	143.9	154.5	166.5	177.6	642.5	195.9	216.3	238.9	238.2	889.3	246.6	263.0	279.2	285.6	1,074.4
Industrial	46.0	53.1	52.1	55.9	207.2	61.7	65.8	75.6	74.1	277.2	76.3	80.9	85.0	84.1	326.3
Industrial Automation	8.3	9.0	9.9	10.3	37.6	10.4	11.0								
Other Industrial	37.8	44.1	42.2	45.6	169.7	51.3	54.7								
Infrastructure	37.4	35.5	46.6	56.8	176.4	61.7	69.9	80.5	86.4	298.5	92.5	99.7	107.8	115.9	415.8
Datacenter	32.4	29.1	39.2	48.3	149.0	54.3	61.5	71.8	77.3	264.9	83.1	89.9	97.6	105.3	375.8
Other Infrastructure	5.1	6.4	7.5	8.5	27.4	7.4	8.4	8.7	9.1	33.6	9.4	9.8	10.2	10.6	40.0
IoT & Consumer	60.4	65.8	67.8	64.8	258.8	72.5	80.7	82.7	77.7	313.6	77.7	82.4	86.5	85.7	332.3
PC	9.1	8.9	8.1	7.8	33.9	10.9	11.3								
Mobile	16.6	17.4	20.3	18.8	73.2	18.1	20.2								
Other IoT & Consumer	34.8	39.5	39.3	38.2	151.8	43.5	49.2								
Non-GAAP Gross Profit	175.2	184.4	192.5	207.9	759.9	220.3	235.3	251.0	248.8	955.1	254.4	267.5	280.4	283.3	1,085.6
Automotive	80.8	84.5	87.7	92.0	345.0	96.4	103.4	107.2	105.4	412.3	107.0	110.3	113.8	112.9	444.1
Industrial / Infrastructure / IoT	88.2	93.3	98.9	108.5	388.9	121.3	131.3	143.3	142.9	538.8	146.7	156.5	166.1	169.9	639.3
Other	6.2	0.5	5.9	7.4	26.0	2.6	0.5	0.5	0.5	4.0	0.6	0.7	0.5	0.5	2.3
Non-GAAP Gross Margin	56.7%	56.8%	57.6%	59.3%	57.6%	59.2%	58.1%	58.0%	58.0%	58.3%	57.8%	57.9%	57.9%	58.0%	57.9%
Automotive	52.2%	52.4%	55.2%	56.5%	54.1%	56.2%	55.3%	55.8%	55.8%	55.8%	56.0%	56.0%	56.0%	56.0%	56.0%
Industrial / Infrastructure / IoT	61.3%	60.4%	59.4%	61.1%	60.5%	61.9%	60.7%	60.0%	60.0%	60.6%	59.5%	59.5%	59.5%	59.5%	59.5%
Non-GAAP SG&A	91.4	92.5	89.3	99.9	373.1	94.8	102.6	102.5	107.0	406.9	102.0	108.0	103.0	110.0	423.0
Non-GAAP R&D	53.8	54.0	52.4	58.1	218.2	54.5	58.1	59.5	62.0	234.1	60.0	63.0	61.0	64.0	248.0
Other SG&A	37.6	38.5	36.9	41.8	154.8	40.3	44.5	43.0	45.0	172.8	42.0	45.0	42.0	46.0	175.0
Non-GAAP Operating Profit	83.8	91.9	103.2	108.0	386.9	125.4	132.7	148.5	141.8	548.2	152.4	159.5	177.4	173.3	662.6
Automotive	46.0	37.6	56.1	56.0	195.7	61.7	64.4								
Industrial / Infrastructure / IoT	28.6	28.8	38.3	45.7	141.4	62.8	69.0								
Other	3.1	4.1	4.0	5.4	16.5	6.2	8.3								
Adjustment	6.2	21.3	4.9	0.9	33.3	-5.2	-8.9								
Non-GAAP Operating Margin	27.1%	28.3%	30.9%	30.8%	29.3%	33.7%	32.7%	34.3%	33.1%	33.5%	34.6%	34.5%	36.7%	35.5%	35.3%
Automotive	29.7%	23.3%	35.3%	34.4%	30.7%	35.9%	34.4%								
Industrial / Infrastructure / IoT	19.9%	18.7%	23.0%	25.7%	22.0%	32.1%	31.9%								
Non-GAAP Net Profit	73.3	77.8	88.2	90.0	329.3	102.9	113.3	118.4	105.6	440.2	123.4	129.5	144.0	135.3	532.3

Source: Company data, Morgan Stanley Research. e = Morgan Stanley Research estimates.

Exhibit 11: Renesas: GAAP income statement

(yen billion) FY	CY25 Mar	Jun	Sep	Dec	CY25	CY26 Mar	Jun	Sep e	Dec e	CY26e	CY27 Mar e	Jun e	Sep e	Dec e	CY27e
Revenue	308.8	325.5	335.4	351.5	1,321.2	380.3	418.4	432.6	428.6	1,638.4	439.8	462.2	484.1	488.8	1,874.9
Automotive	154.9	161.4	158.8	162.9	638.0	171.6	187.1	192.1	188.8	739.6	191.1	197.0	203.2	201.6	793.0
Industrial / Infrastructure / IoT	143.9	154.5	166.5	177.6	642.5	195.9	216.3	238.9	238.2	889.3	246.6	263.0	279.2	285.6	1,074.4
Other Sales	9.9	8.8	10.4	12.4	38.1	12.8	1.5	1.6	1.5	9.5	2.1	2.2	1.6	1.6	7.5
Cost of Revenues	135.9	144.2	143.1	144.2	567.4	157.0	173.3	181.6	179.8	670.4	185.4	194.7	203.6	205.5	789.3
GAAP Gross Profit	172.9	181.3	192.3	207.3	753.8	223.3	245.1	251.0	248.8	968.0	254.4	267.5	280.4	283.3	1,085.6
SG&A	135.3	128.4	123.4	134.2	521.2	131.8	140.2	138.6	143.1	553.7	138.1	144.1	139.1	146.1	567.3
GAAP R&D	58.7	60.2	52.4	62.2	218.2	59.4	65.1	59.5	62.0	234.1	60.0	63.0	61.0	64.0	248.0
Other SG&A	37.6	38.5	36.9	41.8	154.8	40.3	44.5	43.0	45.0	172.8	42.0	45.0	42.0	46.0	175.0
GAAP Amortization of intangibles	34.5	25.5	25.4	26.0	111.4	26.7	26.7	26.7	26.7	106.7	26.7	26.7	26.7	26.7	106.7
Other	4.4	4.3	8.7	4.1	36.8	5.4	3.9	9.4	9.4	40.1	9.4	9.4	9.4	9.4	37.7
Other Income	0.6	1.7	3.7	0.3	6.2	3.5	0.7	443.3	0.0	447.5	0.0	0.0	0.0	0.0	0.0
Other Expenses	16.6	14.9	-0.1	6.2	37.6	4.4	3.4	0.0	0.1	7.9	0.0	0.0	0.0	0.0	0.0
EBITDA	75.8	83.6	117.4	113.0	389.8	138.0	148.9	603.4	153.8	1,045.4	165.0	171.0	190.0	186.9	712.9
GAAP Operating Profit	21.5	39.8	72.6	67.2	201.2	90.6	102.1	555.7	105.6	853.8	116.3	123.4	141.4	137.2	518.3
Finance Income	9.9	4.0	52.3	-51.6	14.7	5.0	73.8	3.2	4.0	86.0	4.2	4.7	4.7	9.4	23.0
Interest & Dividend	5.0	2.0	2.0	1.3	10.3	3.0	3.0	3.0	3.5	12.5	4.0	4.5	4.5	6.0	19.0
Investment Yield					1.8%					1.6%					1.6%
Others	4.9	2.0	50.3	-52.9	4.3	2.0	70.8	0.2	0.5	73.5	0.2	0.2	0.2	3.4	4.0
Finance Expenses	4.6	239.7	4.8	-3.4	245.6	10.9	5.7	3.8	5.9	26.2	3.3	3.3	3.3	14.5	24.2
Interest Expenses	3.7	3.7	3.7	7.9	19.0	3.5	3.5	3.5	5.7	16.2	3.0	3.0	3.0	5.2	14.2
Interest Rates					1.5%					1.4%					1.4%
Others	0.9	236.0	1.1	-11.3	226.6	7.4	2.2	0.3	0.2	10.0	0.3	0.3	0.3	9.3	10.0
Pretax Profit	26.8	-196.1	120.0	19.0	-30.3	84.6	170.3	555.2	103.5	913.6	117.2	124.8	142.8	132.2	517.0
Income Taxes	0.7	5.3	13.7	1.6	21.4	16.3	20.9	111.0	25.4	173.6	22.9	24.3	27.8	25.8	100.8
(Effective Tax Rate)	2.6%	-2.7%	11.4%	8.6%	-70.6%	19.2%	12.3%	20.0%	24.5%	19.0%	19.5%	19.5%	19.5%	19.5%	19.5%
Non-controlling interests	0.1	-0.0	0.1	0.0	0.1	0.1	0.2	0.0	0.0	0.1	0.0	0.0	0.0	0.0	0.1
NP (Owners of the Parent)	26.0	-201.3	106.3	17.3	-51.8	68.3	149.2	444.1	78.3	739.9	94.4	100.5	115.0	106.3	416.1
Average Shares (mn)	1,796.0	1,806.5	1,811.4	1,812.4	1,804.1	1,817.4	1,823.1	1,823.1	1,823.1	1,818.2	1,823.1	1,823.1	1,823.1	1,823.1	1,823.1
Per Share Data (yen)															
GAAP EPS	14.5	-111.5	58.7	9.6	-28.7	37.6	81.8	243.6	43.0	407.0	51.8	55.1	63.1	58.3	228.2
Diluted EPS	14.3	-111.5	58.0	9.5	-28.7	37.0	80.5	239.7	42.3	399.3	50.9	54.2	62.0	57.4	224.5
Non-GAAP EPS	40.8	43.1	48.7	49.7	182.5	56.6	62.1	64.9	57.9	242.1	67.7	71.1	79.0	74.2	292.0
DPS	0.0	0.0	0.0	28.0	28.0	0.0	0.0	0.0	28.0	28.0	0.0	0.0	0.0	30.0	30.0
BPS	1,289.8	1,122.9	1,235.1	1,347.3	1,347.3	1,400.4	1,565.5		1,717.9	1,717.9				1,916.2	1,916.2

Source: Company data, Morgan Stanley Research. e = Morgan Stanley Research estimates.

Exhibit 12: Renesas: Consolidated statement of financial position

(yen billion) FY	CY25 Mar	Jun	Sep	Dec	CY25	CY26 Mar	Jun	Sep e	Dec e	CY26e	CY27 Mar e	Jun e	Sep e	Dec e	CY27e
Current Assets	538.4	587.2	624.5	723.6	723.6	740.7	1,206.5		1,186.0	1,186.0				1,519.2	1,519.2
Cash & Cash Equivalents	177.6	211.1	238.4	295.9	295.9	267.6	376.0		685.4	685.4				933.4	933.4
Trade & other receivables	151.6	173.9	168.4	169.1	169.1	198.1	207.2		202.0	202.0				231.2	231.2
Collection Period (days)	42	50	49	47	47	52	51		45	45				45	45
Inventories	175.6	165.7	174.5	185.9	185.9	200.0	212.1		216.7	216.7				270.3	270.3
Inventory Turnover (CoGS)	118	106	112	114	114	118	112		118	118				125	125
Others	33.5	36.5	43.1	72.6	72.6	75.0	411.1		81.9	81.9				84.3	84.3
Non-current assets	3,657.1	3,285.0	3,388.2	3,453.6	3,453.6	3,486.7	3,356.1		3,599.4	3,599.4				3,552.7	3,552.7
Tangible Assets	347.9	335.4	339.7	355.8	355.8	361.5	367.1		326.3	326.3				338.3	338.3
Goodwill and intangible assets	2,788.1	2,678.7	2,723.4	2,832.7	2,832.7	2,859.4	2,565.5		2,774.0	2,774.0				2,715.3	2,715.3
Investment & Other	520.9	270.5	324.5	265.1	265.1	265.8	423.5		499.1	499.1				499.1	499.1
Other financial assets	425.9	182.4	235.3	168.4	168.4	163.5	322.6		402.4	402.4				402.4	402.4
Deferred tax assets	45.8	45.5	46.4	51.4	51.4	53.3	52.8		51.4	51.4				51.4	51.4
Other	49.2	42.5	42.8	45.3	45.3	49.0	48.1		45.3	45.3				45.3	45.3
Total Assets	4,195.3	3,872.2	4,012.0	4,177.2	4,177.2	4,227.4	4,562.5		4,785.4	4,785.4				5,071.9	5,071.9
Current Liabilities	481.2	497.9	469.0	616.4	616.4	601.6	653.4		673.7	673.7				736.8	736.8
Accounts & Notes Payable	213.3	210.4	197.7	219.2	219.2	217.2	233.2		259.0	259.0				304.9	304.9
Days Payable	134	136	130	141	141	135	138		141	141				141	141
Short-term Debt	143.6	153.3	143.6	242.5	242.5	245.5	247.8		242.5	242.5				242.5	242.5
Other financial liabilities	12.9	8.6	8.9	9.5	9.5	7.4	7.4		9.5	9.5				9.5	9.5
Allowance	14.1	7.1	2.6	4.1	4.1	3.7	4.5		4.1	4.1				4.1	4.1
Others	110.2	118.5	116.1	141.2	141.2	135.2	167.9		158.7	158.7				175.9	175.9
Non-current liabilities	1,392.0	1,337.9	1,301.4	1,112.3	1,112.3	1,079.3	1,053.6		974.3	974.3				836.3	836.3
Bond & Long-term Debt	1,212.9	1,173.1	1,141.3	964.1	964.1	937.1	910.1		821.1	821.1				678.1	678.1
Other financial liabilities	15.2	14.0	13.8	14.6	14.6	15.0	15.6		14.6	14.6				14.6	14.6
Pension Liabilities	23.0	22.9	23.0	22.5	22.5	22.3	22.1		22.5	22.5				22.5	22.5
Others	140.9	128.0	123.3	111.1	111.1	104.9	105.8		116.1	116.1				121.1	121.1
Non-controlling Interests	4.7	4.8	5.0	5.4	5.4	5.6	5.9		5.4	5.4				5.4	5.4
Equity	2,317.6	2,031.5	2,237.3	2,443.0	2,443.0	2,540.8	2,849.6		3,131.9	3,131.9				3,493.3	3,493.3
Capital Stock	153.2	153.2	153.2	153.2	153.2	153.2	153.2		153.2	153.2				153.2	153.2
Additional Paid-in Capital	297.4	289.3	292.8	299.3	299.3	306.8	310.8		299.3	299.3				299.3	299.3
Retained Earnings	1,284.3	1,087.1	1,195.4	1,213.8	1,213.8	1,230.5	1,370.8		1,902.7	1,902.7				2,264.1	2,264.1
Other components of equity	672.3	576.9	667.2	846.8	846.8	919.1	1,068.0		846.8	846.8				846.8	846.8
Treasury Stock	-89.6	-75.0	-71.3	-70.0	-70.0	-68.9	-53.2		-70.0	-70.0				-70.0	-70.0
Liabilities & Equity	4,195.5	3,872.2	4,012.7	4,177.2	4,177.2	4,227.4	4,562.5		4,785.4	4,785.4				5,071.9	5,071.9
Net Interest-bearing Debt	1,206.9	1,137.9	1,065.9	934.7	934.7	937.4	804.9		402.3	402.3				11.2	11.2
Shareholders' Equity Ratio	55.2%	52.5%	55.8%	58.5%	58.5%	60.1%	62.5%		65.4%	65.4%				68.9%	68.9%
Net Debt Equity Ratio	0.5	0.6	0.5	0.4	0.4	0.4	0.3		0.1	0.1				0.0	0.0
Net Debt to Non-GAAP EBITDA ratio	2.6	2.6	2.5	2.0	2.0	1.8	1.5		0.6	0.6				0.0	0.0
Debt Repayment Schedule															
Corporate Bond										0.0					0.0
Long-term Debt										143.0					143.0
Lease Obligations										0.0					0.0

Source: Company data, Morgan Stanley Research. e = Morgan Stanley Research estimates.

Exhibit 13: Renesas: Consolidated statement of cash flow

(yen billion) FY	CY25 Mar	Jun	Sep	Dec	CY25	CY26 Mar	Jun	Sep e	Dec e	CY26e	CY27 Mar e	Jun e	Sep e	Dec e	CY27e
Net Income	26.0	-201.3	106.3	17.3	-51.8	68.3	149.2			739.9					416.1
Depreciation & Amortization	54.3	43.8	44.8	45.8	188.6	47.4	46.8			191.5					194.7
Change in Current Assets	27.3	-15.3	-9.9	-41.6	-39.6	-45.4	-357.4			-73.0					-85.2
Change in Current Liabilities	-1.6	-1.6	-15.1	43.5	25.2	-8.3	49.5			57.4					63.1
Change in Non-current Liabilities	-20.6	-13.1	-4.6	-12.7	-50.9	-6.5	0.7			5.0					5.0
Change in Minority Interest	-0.2	0.0	0.2	0.4	0.5	0.2	0.3			0.0					0.0
Other	10.6	289.9	-23.1	103.4	380.8	29.0	283.2			-443.3					-3.6
Net Operating Cash Flow	95.7	102.4	98.6	156.1	452.9	84.8	172.2			477.5					590.1
Proceeds from Sales of PPE	0.0	1.8	3.3	0.1	5.2	0.2	-0.0			0.0					0.0
Additions to PPE	-26.6	-21.2	-22.8	-18.5	-89.2	-22.8	2.7			-80.0					-100.0
Change in Investments	-0.6	-0.4	-0.6	9.2	7.6	-0.5	0.3			234.0					-0.0
Cash used for M&A	-2.8	-0.0	0.0	-3.8	-6.7	-1.3	-2.3			0.0					0.0
Cash used for intangible assets	-9.2	-16.3	-9.7	-9.5	-44.6	-10.2	-16.2			-48.0					-48.0
Other	0.3	11.1	-0.8	-7.7	2.9	-3.2	-22.4			0.0					0.0
Net Investing Cash Flow	-38.9	-25.0	-30.7	-30.2	-124.7	-37.8	-37.9			106.0					-148.0
Free Cash Flow	56.9	77.4	67.9	126.0	328.2	47.0	134.3			583.5					442.1
FCF excluding cash for M&A	59.6	77.4	67.9	129.8	334.8	48.3	136.6			349.5					442.1
Change in Short-term Debt	0.0	10.0	-10.0	0.0	0.0	0.0	0.0			0.0					0.0
Proceeds L/T Borrowings	0.0	0.0	0.0	0.0	0.0	0.0	0.0			0.0					0.0
Repayment of LT Borrowings	-35.7	-35.7	-35.7	-85.7	-192.7	-27.0	-27.1			-143.0					-143.0
Proceeds Share Issuance	0.0	0.0	0.0	0.0	0.0	0.0	0.0			0.0					0.0
Proceeds Bond Issuance	0.0	0.0	0.0	0.0	0.0	0.0	0.0			0.0					0.0
Repayment of Bond	0.0	0.0	0.0	0.0	0.0	0.0	0.0			0.0					0.0
Proceeds from lease contracts	0.0	0.0	0.0	0.0	0.0	0.0	0.0			0.0					0.0
Repayment lease obligation	-2.5	-2.5	-2.5	6.4	-1.0	-2.7	-2.7			0.0					0.0
Share Repurchase	0.0	0.0	0.0	22.1	22.1	0.0	0.0			0.0					0.0
Dividend Paid	-48.9	-1.5	-0.0	-0.0	-50.3	-50.6	-0.3			-51.0					-51.0
Other	-3.3	-4.6	-4.0	-35.9	-47.7	-4.4	-4.7			0.0					0.0
Net Financing Cash Flow	-90.3	-34.3	-52.1	-93.0	-269.7	-84.8	-34.8			-194.0					-194.0
Effect of Forex Changes	-18.2	-9.6	11.5	24.5	8.2	9.5	8.9			0.0					0.0
Cash change due to merger															
Net increase in cash	-51.6	33.5	27.3	57.5	66.6	-28.3	108.4			389.5					248.0
Cash at beginning of period	229.2	177.6	211.1	238.4	229.2	295.9	267.6			295.9					685.4
Cash at end of period	177.6	211.1	238.4	295.9	295.9	267.6	376.0			685.4					933.4

Source: Company data, Morgan Stanley Research. e = Morgan Stanley Research estimates.

Exhibit 14: Renesas: ROE and valuation

FY	CY25 Mar	Jun	Sep	Dec	CY25	CY26 Mar	Jun	Sep e	Dec e	CY26e	CY27 Mar e	Jun e	Sep e	Dec e	CY27e
Return on Equity					-2.1%					26.5%					12.6%
Return on Equity (non-GAAP basis)					13.2%					15.8%					16.1%
Return on Assets					-0.4%					16.8%					8.7%
Net Profit Margin					-3.9%					45.2%					22.2%
Asset Turnover					0.3					0.4					0.4
Financial Leverage					1.7					1.6					1.5
EBIT Margin					0.2%					56.6%					28.2%
Interest Burden					0.4%					0.4%					0.3%
Tax Rate					-70.6%					19.0%					19.5%
Retention Rate					198.1%					93.1%					86.9%
Internal Growth Rate					-4.1%					24.7%					10.9%
Valuation															
Stock price (yen) (annual average)					1,950					6,000					6,000
Market Cap (yen bn)					3,536.0					10,938.6					10,938.6
Net Debt (yen bn)					934.7					402.3					11.2
Enterprise Value (yen bn)					4,470.7					11,340.8					10,949.8
P/E					-68.1					14.7					26.3
P/E (Non-GAAP EPS basis)					10.7					24.8					20.5
EV / Sales					3.4					6.9					5.8
EV / Non-GAAP EBITDA					9.6					17.9					14.6
EV / FCF (excluding cash for M&A)					13.6					19.4					24.8
P/B					1.45					3.49					3.13
FCF / Enterprise value					7.3%					5.1%					4.0%
Dividend Yield					1.4%					0.5%					0.5%

Source: Company data, Morgan Stanley Research. e = Morgan Stanley Research estimates.

Risk Reward – Renesas Electronics (6723.T)

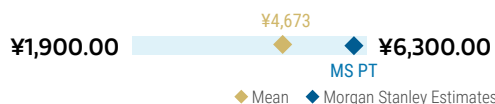
Mid-term revenue growth outlook has improved, driven by data center products.

PRICE TARGET ¥6,000

CY27e non-GAAP EPS x 20x. Multiple is set at a 5% discount from the average for comparable companies (Infineon, NXP, and STMicro) given uncertainty over Renesas' software/digitalization strategy and capital allocation.

Consensus Price Target Distribution

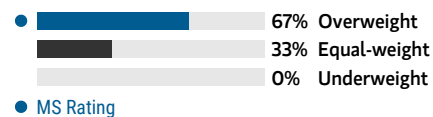
Source: Refinitiv, Morgan Stanley Research



OVERWEIGHT THESIS

- After years of stagnation, we expect growth of memory interface and digital power for datacenters, MCU for E/E architecture, R-Car for ADAS to drive revenue growth from CY26.
- Product mix improvement should drive continued gross margin improvement.
- Data center revenue growth and sustained gross margin improvement outlook, as well as improved prospect of shareholder returns, could trigger re-rating.

Consensus Rating Distribution



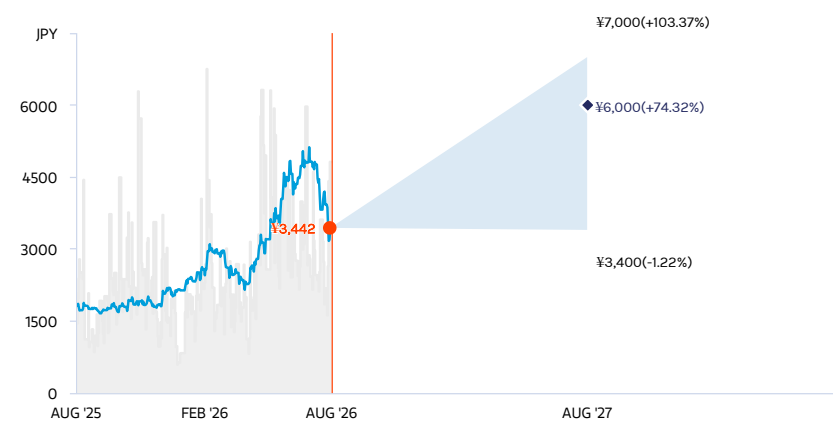
Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Secular Growth: *Positive*

View descriptions of Risk Rewards Themes [here](#)

RISK REWARD CHART



Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

BULL CASE

¥7,000

CY27e non-GAAP EPS x 22

Multiple expands beyond the base case.

Revenues grow steadily, led by content growth both in automotive and industrial, infrastructure and IoT.

CY27e sales ¥1.93trn, non-GAAP OP ¥7,262bn, non-GAAP EPS ¥320.

BASE CASE

¥6,000

CY27e non-GAAP EPS x 20

Earnings recover in CY2026-27 and data center revenues expand sharply.

CY27e sales ¥1.87trn, non-GAAP OP ¥662.6bn, non-GAAP EPS ¥292.

BEAR CASE

¥3,400

CY27e non-GAAP EPS x 12.5

Valuation multiple remains depressed.

Revenues remain stagnant in 2027.

CY27e sales ¥1.8trn, non-GAAP OP ¥608.6bn, non-GAAP EPS ¥268.

Risk Reward – Renesas Electronics (6723.T)

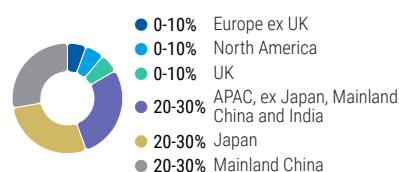
KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
Automotive gross profit (¥, bn)	345	412	444	471
Industrial / Infrastructure / IoT gross profit (¥, bn)	389	539	639	744

INVESTMENT DRIVERS

- Top line growth
- Gross margin improvement
- FCF generation, steady decline in financial leverage, and expanded shareholder returns

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

3/5
MOST
3 Month
Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Stronger than expected semiconductor demand
- Stronger than expected gross margin improvement
- Greater than expected synergy generated with acquired companies

RISKS TO DOWNSIDE

- Weaker than expected semiconductor demand
- Severer than expected market share decline
- FX: Annual non-GAAP OP declines by ¥3.2bn (per ¥1 appreciation vs. US\$) and ¥400mn (vs. Euro).

OWNERSHIP POSITIONING

Inst. Owners, % Active 68.8%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e

Sales / Revenue (¥, bn) 1,390.0 1,555.4 1,638.4

EBITDA (¥, bn) 502.0 602.5 633 667.8

Net income (¥, bn) 312.0 448.0 740

EPS (¥) 189.0 242.1 245.4 347.4

◆ Mean ◆ Morgan Stanley Estimates
Source: Refinitiv, Morgan Stanley Research

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - [Options_Probabilities_Exhibit_Link.pdf](#)
2. View descriptions of Risk Rewards Themes - [RR_Themes_Exhibit_Link.pdf](#)
3. View explanation of regional hierarchies - [GEG_Exhibit_Link.pdf](#)
4. View explanation of Theme/Exposure methodology - [ESG_Sustainable_Solutions_External_Link.pdf](#)
5. View explanation of HERS methodology - [ESG_HERS_External_Link.pdf](#)

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The following analysts hereby certify that their views about the companies and their securities discussed in this report are accurately expressed and that they have not received and will not receive direct or indirect compensation in exchange for expressing specific recommendations or views in this report: Kazuo Yoshikawa, CFA.

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Global Stock Ratings Distribution

(as of July 31, 2026)

The Stock Ratings described below apply to Morgan Stanley's Fundamental Equity Research and do not apply to Debt Research produced by the Firm.

For disclosure purposes only (in accordance with FINRA requirements), we include the category headings of Buy, Hold, and Sell alongside our ratings of Overweight, Equal-weight, Not-Rated and Underweight. Morgan Stanley does not assign ratings of Buy, Hold or Sell to the stocks we cover. Overweight, Equal-weight, Not-Rated and Underweight are not the equivalent of buy, hold, and sell but represent recommended relative weightings (see definitions below). To satisfy regulatory requirements, we correspond Overweight, our most positive stock rating, with a buy recommendation; we correspond Equal-weight and Not-Rated to hold and Underweight to sell recommendations, respectively.

Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1529	42%	442	47%	29%	750	43%
Equal-weight/Hold	1582	43%	396	42%	25%	773	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	560	15%	97	10%	17%	217	12%
Total	3,674		936			1741	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

Analyst Stock Ratings

Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

Analyst Industry Views

Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.

Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.

Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Stock Price, Price Target and Rating History (See Rating Definitions)

Renesas Electronics (6723.T) - As of 08/02/26 GMT in JPY
Industry : Japan Semiconductors



Stock Rating History: 8/1/21 : 0/I; 7/7/23 : 0/A; 9/15/24 : 0/I

Price Target History: 7/30/21 : 1900; 9/24/21 : 2100; 6/17/22 : 2000; 1/3/23 : 1900; 2/9/23 : 2000; 4/27/23 : 2200; 5/22/23 : 2500; 7/27/23 : 3200; 10/26/23 : 2900; 11/22/23 : 3000; 2/8/24 : 3200; 6/12/24 : 3800; 7/26/24 : 3600; 9/15/24 : 2800; 10/28/24 : 2700; 2/6/25 : 2900; 4/21/25 : 2400; 4/24/25 : 2500; 6/27/25 : 2200; 7/25/25 : 2300; 10/30/25 : 2500; 1/5/26 : 2700; 2/5/26 : 3400; 4/24/26 : 4000; 6/22/26 : 6000

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -- No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —

Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

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INDUSTRY COVERAGE: Japan Semiconductors

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/31/2026)
Kazuo Yoshikawa, CFA		
HOYA (7741.T)	E (10/30/2023)	¥24,675
KIOXIA Holdings (285A.T)	O (08/12/2025)	¥46,500
Renesas Electronics (6723.T)	O (11/26/2019)	¥3,442
Rohm (6963.T)	++	¥4,331
Socionext (6526.T)	U (01/27/2026)	¥1,913

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* Historical prices are not split adjusted.

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